Insights from Economics Association of Zambia:
A Comprehensive Analysis of the National State of Affairs

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The President of the Economics Association of Zambia delivering a press conference to discuss the current state of affairs in the nation.

INTRODUCTION

The Economics Association of Zambia (EAZ) is dedicated to promoting socio-economic development, disseminating economic literature, and educating the public on relevant topics in Zambia.

In order to fulfill its mission, the EAZ is conducting a detailed analysis of Zambia's economic performance in 2024, with a focus on the challenges posed by debt restructuring and the impact of severe drought on key economic sectors.

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MACROECONOMIC INDICATORS

1. ECONOMIC GROWTH AND GDP

Zambia's economic growth forecast for 2024 has been revised downwards by the Ministry of Finance and National Planning. Initially projected at 4.8%, the new estimate now stands at 2.7%.

This revision is attributed to several factors, including a prolonged drought that has negatively impacted agricultural productivity, an energy shortage leading to electricity constraints, and high inflation driven by food prices.

Additionally, the continued depreciation of the local currency against major foreign currencies, such as the US Dollar, British Pound, and Euro, has further contributed to the downward revision. Despite the recovering mining, services, and manufacturing sectors, as well as an uptick in global copper prices, these challenges have dampened Zambia's growth prospects for 2024.

2. INFLATION AND MONETARY POLICY

Zambia's monetary sector encountered significant obstacles in the first half of 2024, as inflation continued to rise. According to ZAMSTATS, inflation reached a peak of 14.7% in May 2024, surpassing the Central Bank's target range of 6-8 percent.

This increase in inflation has been linked to climate change-related events, such as drought, which have led to decreased productivity, energy shortages, and higher food prices due to the need for imported goods. As a result, disposable income has decreased, putting pressure on household budgets and potentially discouraging business investments.

In an effort to combat inflation, the Government of Zambia, through the Bank of Zambia (BOZ), has implemented measures during the latter half of 2024.

These measures include increasing the Statutory Reserve Ratio (SRR) by 900 basis points, raising it from 17 percent to 26 percent, as well as adjusting the Monetary Policy Rate by 100 basis points, increasing it to 13.5 percent from 12.5 percent. While the intention behind these actions is to curb inflation, they have resulted in some short-term consequences.

One such consequence is the limited access to finance for small and medium-sized enterprises (SMEs) and individuals, as banks have restricted loan and credit disbursements to households and the private sector. This approach, although well-intended, has disrupted business operations and welfare in the short run.

The ultimate goal of these monetary policy tools is to increase the cost of borrowing, thereby channeling available liquidity towards productive sectors of the economy. The success of these measures will depend on the central bank's preferred monetary policy stance.

The Zambian Kwacha exchange rate plays a significant role in inflation dynamics when there is a shortage of foreign exchange in the domestic market.

In May 2024, the Kwacha depreciated against the US Dollar, averaging K26.61/USD, compared to K24.87/USD in December 2023, indicating a surge in demand for foreign exchange for various transactions such as fuel, electricity, manufacturing, financial services, transportation, agriculture, and household needs.

This depreciation leads to higher costs of goods and services, putting local businesses at a disadvantage, especially those reliant on imported materials and equipment, ultimately resulting in decreased local production and reduced competitiveness.

MACROECONOMIC INDICATORS

3. DEBT AND DEBT OVERHANG ISSUE

In the first quarter of 2024, Zambia did not acquire any new loans, yet the public debt stock continued to rise due to funds received from multilateral creditors. By the end of Q1 2024, the country's public sector debt, excluding arrears, reached $25 billion, comprising $14.7 billion in Central Government external debt, $1.4 billion in Government guaranteed State Owned Enterprises (SOE) external debt, and ZMW227 billion ($9.1 billion) in Central Government domestic debt. Private sector external debt stood at $7.7 billion at the close of 2023, while total arrears by the end of Q1 2024 amounted to $10.1 billion, with public sector external arrears at $6.8 billion and domestic arrears at $3.3 billion.

Zambia has been actively engaged in restructuring its debt to ensure sustainability, making significant progress under the G20 Common Framework. Agreements have been reached to restructure $6.3 billion and $3.9 billion with official creditors and Eurobond holders, respectively. The remaining task is for the government to promptly finalize the restructuring of the remaining private sector debt exceeding $3 billion.

4. FISCAL PERFORMANCE

In 2024, the fiscal deficit is projected to reach 7.3% of GDP, reflecting a persistent challenge but also a decrease from the previous year's 8.1% of GDP.

The rise in social spending is a key factor driving the deficit, underscoring the government's emphasis on social welfare initiatives.
3. Nevertheless, the government's target is to lower the deficit to 4.8% of GDP by 2024, indicating efforts to improve fiscal sustainability.

5. TRADE AND INVESTMENT

In the middle of 2024, the nation registered a trade surplus, indicating a positive difference between exports and imports. By April 2024, the trade surplus stood at K2.4 billion, with a cumulative surplus of K3.5 billion from January to April 2024. Comparatively, in the same period of 2023, the trade surplus was K0.9 billion in June and K3.4 billion from January to June, showing an overall increase of 3.23%, driven by higher export earnings from copper and intermediate goods.

Additionally, the country's international reserves have grown, serving as a cushion against external shocks and contributing to economic security and stability. The Bank of Zambia reported that international gross reserves rose to $3.6 billion by the end of March 2024, up from $3.3 billion at the end of December 2023. This amount is equivalent to 3.9 months of import cover, an increase from 3.7 months at the end of December 2023.

Regarding investments, the nation has attracted significant pledges for 2024, especially in the mining sector. China Non-Ferrous Mining Corporations (CNMC) plans to invest $1.3 billion in various operations in Zambia, First Quantum Minerals (FQM) pledged $100 million for Enterprise Nickel Mine and $1 billion to expand the Kansanshi Mine and Smelter, Kobold Minerals pledged $150 million for the Mingomba projects, and Barrick Gold Corporation pledged $2 billion to expand Lumwana Mine. These investments, if realized, are expected to create job opportunities, spur economic growth, generate foreign exchange earnings, drive technological advancements, and boost infrastructure development.

MACROECONOMIC INDICATORS

6. POVERTY AND EMPLOYMENT

The International Monetary Fund (IMF) reports that a significant portion of the country's population, over 60%, is living below the international poverty line, while over 50% are below the national poverty line. Rural areas are particularly affected by higher poverty rates. The ongoing drought has worsened food insecurity, leading to increased poverty levels and impacting employment in the agricultural sector. Additionally, the cost of living has risen significantly, posing a major concern as basic necessities become more expensive. The Jesuits Centre for Theological Reflections (JCTR) has compiled the Basic Needs and Nutrition Basket (BNNB), which reveals that the cost of living for a family of five has increased to K10,701.13 as of May 2024, compared to K9,555.53 in January of the same year. This rise can be attributed to increased transportation costs, fuel prices, the cost of mealie meal, vegetables, fruits, and fluctuations in the exchange rate.

Despite these challenges, there are positive signs in the private sector's economic activities. The Purchasing Manager Index (PMI) for June 2024 stands at 50.3, indicating resilience and expansion in economic activity. This increase from 49.2 in January 2024 suggests a rise in employment levels within the sector, despite the high cost of doing business due to factors such as interest rates, fuel prices, and regulatory burdens.





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PERFORMANCE OF KEY ECONOMIC SECTORS

1. AGRICULTURAL SECTOR

The agricultural sector has immense potential in our economy and has the ability to contribute significantly to job creation, economic growth, and sustenance. Given that a majority of the population relies on agriculture for food, employment, and income, it plays a crucial role in ensuring livelihoods and enhancing food security. However, the 2023/24 farming season was severely impacted by a drought caused by climate change and El Nino. This had a profound effect on the agriculture sector, water supply, and food security. Approximately nine million people in 84 out of 117 districts have been affected, resulting in significant crop losses and livestock deaths. As a result, cereal production is projected to decline by almost 50%, exacerbating food insecurity and malnutrition.

2. MINING SECTOR

The mining sector in Zambia, which includes copper, emeralds, gold, and cobalt, is crucial for economic growth but falls short in contributing significantly to foreign exchange earnings.

Despite stable copper prices in Q4, 2023, production decreased by 13%, posing a risk to achieving the government's production target of 3 million metric tons by 2032.

To address these challenges, the government tackled issues at Mopani Copper Mine and Konkola Copper Mine, while also planning to establish the Minerals Regulation Commission through a Bill in Parliament.

Although the impact of these measures may not be immediate, they are expected to support macroeconomic growth and help the sector recover towards meeting its targets.

3. MANUFACTURING SECTOR

Zambia's manufacturing sector shows promise for growth, with a GDP contribution of 9.1% as of Mid-2024, up from 8.3% in 2023, leading to a 2.5% increase in year-to-year employment:

1. The growth in the manufacturing sector was primarily fueled by the Textile and Apparel subsector, benefiting from global supply chain recovery and rising export demand.
2. Despite challenges such as higher raw material costs, the Food and Beverages subsector played a key role in the sector's growth through increased domestic consumption and exports.
3. The Metals and Machinery subsector saw a significant output increase in 2024, driven by heightened demand for construction materials and capital goods.
4. The Chemicals and Pharmaceuticals subsector continued to be a major contributor to the manufacturing sector, with growth in 2024 driven by increased healthcare spending and export opportunities in the region.

4. ENERGY SECTOR

Zambia heavily relies on hydropower, which makes up 85% of the country's installed capacity. However, electricity generation saw a decline of 6.8% in the fourth quarter of 2023, dropping to 4,835 GWh from 5,052 GWh in the third quarter.

The decrease in electricity generation has persisted into the first half of 2024, leading to a projected deficit of around 450 MW. This shortfall is anticipated to impact households and industrial activities in Zambia.

The primary cause of this situation is the severe drought experienced during the 2023/24 period, resulting in reduced water allocations at the Kariba Dam Power Complex. The Zambezi River Authority has adjusted the water allocation for power generation from 40 million cubic meters to

16 million cubic meters, exacerbating the challenges faced by households, SMEs, and the overall economy.

4. The diminishing water levels and electricity generation have also led to a decline in electricity exports, which is expected to have adverse effects on Zambia's balance of trade.

The average price of crude oil increased from US$83.11 per barrel in Q1, 2024 to US$88.61 per barrel in the second quarter of 2024. This rise can be attributed to decreased worries about a regional conflict in the Middle East and stable global petroleum output. As a consequence, the cost of production is expected to rise, leading to cost-push inflation.

5. WATER AND SANITATION

The drought has led to a shortage of water, increasing electricity shortages and the risk of health expenses due to waterborne diseases like cholera, dysentery, typhoid, and rotavirus. This has also impacted sanitation facilities, especially in rural regions.

5. EDUCATION AND HEALTH

The education sector in the first half of 2024 has been significantly affected by the drought, impacting over nine million people in 84 out of 117 districts, including many school-aged children. The government is seeking K784 million to expand the school feeding program to address hunger among students, as school attendance has declined due to children dropping out to help their families find food. Additionally, early child marriages have increased in districts affected by the drought.

In the health sector, the drought has worsened the nutritional status of many Zambians, particularly children and women in rural areas, making them more vulnerable to illness.

Poor access to safe water, sanitation, and hygiene has increased the risk of infectious diseases such as cholera, diarrhea, and acute respiratory conditions. Approximately 2.04 million people are severely food insecure, with 58,000 in Emergency (IPC Phase 4) and 1.9 million in crisis (IPC Phase 3), while the inflation rate stands at 14.7% as of May 2024. These figures highlight the urgent need for humanitarian intervention to address food shortages, protect livelihoods, and ensure the functioning of education and health services during this crisis.





RECOMMENDATIONS

Based on the analysis, EAZ makes the following policy recommendations to address the challenges and leverage the opportunities presented:

1. Economic Growth and GDP:

- Fiscal Stimulus: Implement targeted fiscal stimulus measures to support sectors affected by the drought, such as agriculture and energy.
- Exchange Rate Management: The exchange rate management policy should be refocused to respond by bringing down the domestic general price level. The policy should facilitate inflows of foreign exchange. The policy should therefore strengthen the implementation of the rules such as the current e-BoP regulations to focus on strengthening the integration of artificial intelligence systems at the Zambia Revenue Authority and the Bank of Zambia to effectively monitor export revenue inflows into the country.
- Export Diversification: Diversify exports beyond into green products and services in order to develop a resilient economy and to support green and sustainable finance in Zambia. The EAZ will form a team to develop green and sustainable product cycle model for the country to input into the national planning model.

2. Inflation and Monetary Policy:

- Monetary Measures: Consider targeting real output gap, inflation and exchange rate using the extended Taylor Rule, with the largest weight put on real output volatility, followed by the exchange rate volatility. The Ministry of Finance and national Planning must therefore consider rethinking the demand management policies and instead consider introducing the supply management policies, which seems to be the country's economic problem. A mixture of the two but with more weight on supply management policies.
- Inflation Targeting: The Ministry of Finance should consider adopting a more flexible inflation targeting regime to accommodate external shocks like output, climate change related risks such as drought and currency depreciation.
- Social Safety Nets: The Ministry of Finance and National planning should expand social safety nets to protect the most vulnerable populations from the impact of inflation by introducing tax allowances to families.

3. Debt and Debt Overhang Issue:

- Debt Management: Continue with prudent debt management and seek favorable terms for debt restructuring to maintain debt sustainability through the use of green and sustainability finance instruments.
- Revenue Mobilization: Government should strengthen domestic revenue mobilization through tax reforms, capacity building and improved tax collection efficiency using artificial intelligence systems Target revenue collection to between 25-30 percent of GDP.
- Expenditure Rationalization: Government should prioritize essential spending and cut non-essential expenditures to manage the fiscal deficit. The recently announced measures by the Government to rationalize expenditures is the starting point and is commended.

4. Fiscal Performance:

- Deficit Reduction: Government should Implement measures to reduce the fiscal deficit, such as improving public financial management and reducing wasteful spending by amending public finance management laws to strengthen penalties.
- Social Investment: Government should ensure that social spending is effective and reaches those in need, particularly in education and health sectors by streamlining the public procurement law.

RECOMMENDATIONS

- Constituency Development Funds (CDF): CDFs utilization should be closely monitored to ensure that there are no idle cash balances for a period of two months or more.

5. Trade and Investment:

- Trade Facilitation and Capital Account Management: Government should improve trade facilitation measures in Missions abroad to boost exports and take advantage of the trade surplus. Further, in order to prevent foreign exchange hemorrhage, through the capital account, the Government should use market based tools to tighten the capital account by an amendment of the existing external sector laws.
- Investment Climate: The Government should enhance the investment climate by addressing domestic regulatory burdens, improving governance, and reducing the costs of doing business.

6. Poverty and Employment:

- Agricultural-processing and Manufacturing Support: Government should provide value chain support to the agricultural sector to boost productivity, value addition and green jobs, especially in rural areas.
- Cost of Living: Government should address the rising cost of living by boosting the supply of essential goods and managing their prices through supporting the supply chain improvement.
- Employment Programs: Government should support the development of employment programs that target the creation of jobs in sectors with high growth potential.

These recommendations aim to foster economic resilience, ensure sustainable growth, and improve the welfare of the Zambian population amidst the challenges of drought, inflation, and currency depreciation.



QUICK SECTOR INTERVENTIONS

The EAZ further recommend the following specific sector interventions:

1. Agricultural Sector:

- Diversification: Encourage crop diversification to reduce reliance on rain-fed agriculture and improve resilience to climate variability.
- Irrigation: Invest in irrigation infrastructure to mitigate the effects of drought and ensure consistent water supply for farming.
- Insurance: Strengthen and promote appropriate agricultural insurance schemes to protect farmers against crop failure due to extreme weather events.

2. Mining Sector:

- Sustainability: Implement sustainable mining practices to minimize environmental impact and ensure long-term viability of the sector.
- Investment: Attract foreign direct investment by providing incentives and maintaining a stable regulatory environment.
- Value Addition: Develop local markets and encourage local processing of minerals to increase their value before export.

3. Manufacturing Sector:

- Innovation: Foster green innovation and technology adoption to increase productivity and competitiveness in the manufacturing sector.
- Skills Development: Invest in technology for vocational training schools to equip the workforce with skills relevant to the manufacturing industry.
- Export Promotion: Develop transportation, and warehousing strategies in foreign jurisdictions to promote Zambian manufactured goods in international markets.

4. Energy Sector:

- Renewable Energy: Accelerate the development of renewable energy sources to reduce dependence on hydropower and enhance energy security.
- Energy Efficiency: Support and promote energy efficiency measures across all sectors to reduce overall usage for electricity.
- Rural Electrification: Expand rural electrification programs to increase access to electricity in remote areas.

5. Water and Sanitation:

- Water Conservation: Support and develop water conservation measures and promote efficient water use practices in homes and business buildings.
- Infrastructure: Support and upgrade water and sanitation infrastructure to improve access, water recycling and reduce the incidence of waterborne diseases.
- Public Health Campaigns: Strengthen public health campaigns to educate the population on hygiene practices and prevent disease outbreaks.

6. Education and Health:

- School Feeding Programs: Secure long-term funding for school feeding programs to ensure that children have access to nutritious meals and can focus on their education.
- Healthcare Access: Increase access to affordable healthcare services, especially in rural areas, to address malnutrition and preventable diseases.
- Community Engagement: Engage communities in the design and implementation of education and health initiatives to ensure they meet local needs as well as on the impact of the current economic programmes. This will enhance information flows to the grassroots and minimize citizens-government conflicts.

CONCLUSION

To implement the recommendations, government interventions, including monetary and fiscal policies, the Kwacha exchange rate stability and prudent management of public finances, are crucial. Further, the Government should strengthen and guarantee local investor protection and support through directing investments into key sectors like tourism, manufacturing, energy, water, services, mining, and agriculture to stimulate GDP growth. Leveraging Zambia's manufacturing potential and exploring opportunities in mining, energy, water, and agriculture can drive economic diversification and job creation, aligning with long-term development goals. Furthermore, it is critical that energy (electricity) supply insecurity is quickly resolved, because the energy is an enabler.

The EAZ commends recent government initiatives to revive the economy, such as debt restructuring and attracting investments. However, sustained efforts, innovation, and consistent policy implementation are essential. Going forward, the focus should be on sectors with high-sustainable output potential, value-addition, and efficient resource allocation. This action will ensure economic resilience and progress towards broader developmental objectives.



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